



Brexit 10 Years On: what's worked, what hasn't, what's next?

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Ten years ago, the UK voted to leave the European Union with a small majority. This marked the biggest self-imposed trade disruption in history (at the time). Much ink has been spilt on understanding the effects of Brexit, and much uncertainty still remains.

In this special report as part of the Deutsche Bank Research Institute, we revisit the Brexit impact 10 years on. We look at what's worked, what hasn't, and what's next?

To be sure, the effects of Brexit are still felt today. The UK economy continues to suffer from tight trade restrictions via non-tariff barriers. And we estimate some meaningful costs to GDP and employment as a result of the UK's departure from the EU. The cost of living has also been modestly higher on the back of Brexit.

It's not all doom and gloom, however. While Brexit may not have been the success some claimed it would be, it hasn't unfolded quite as badly as others thought either. While our Brexit Scorecard shows an economic cost to the UK's exit, our Brexit Balance Sheet brings together things that have been more positive for the UK as well as things which have not, and where we remain unsure.

We conclude on where we think the UK should focus its efforts in the near term while asking the big medium-term question: is there a path back to the EU? No matter how ambitious the UK's reset with the EU may be in the coming years, the UK will need to garner full support from both the electorate and the EU to come to terms on a deal fit for the British economy of the future. The bottom line: while the cost of Brexit cannot be ignored, there may be political limitations on how far the UK can go in re-integrating with the EU.

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Executive Summary

On the 23rd of June 2016, the UK economy and political ecosystem changed forever with the public voting to leave the European Union (EU). Fragmented politics gave way to a fragmented economy with the UK the first country to break from the European Union – marking, at the time, the biggest unilateral trade disruption in history.

The effects of Brexit are still felt today. The UK economy continues to suffer from tight trade restrictions via non-tariff barriers. The changing tide of immigration has also impacted businesses, from agriculture to hospitality and retail. To be sure, the costs of Brexit – though perhaps slightly exaggerated – are real. The economy is smaller as a result of its departure from the EU. The labour market is also smaller and more dislocated. And prices are running higher, given increased cost of EU imports.

Still, the path ahead – though uncertain – is filled with opportunity. The UK's Brexit freedoms have opened a path to better trade deals with other nations. Regulatory autonomy has positioned the UK to stay at the frontier of AI – the next biggest technological revolution. The speed of deregulation has also allowed the UK to benefit from stronger investment growth. And outside the EU, the UK has been able to embark on a more aggressive form of industrialisation.

In this report, we look at how the economy has taken shape a decade since the Brexit referendum. First, we present a scorecard of economic and market measures over the last decade, comparing the UK to its G7 peers (where compatible). We also set out a doppelganger analysis to estimate the running costs of Brexit. Second, we set out a balance sheet approach looking at what's worked and what's not worked. And third, we conclude with the path ahead. Low hanging fruit to improve the UK-EU Trade & Cooperation Agreement (TCA) remains ripe for picking. At the same time, however, big questions around the UK's future with the EU remain unanswered.

Our key conclusions:

- The cost of Brexit, we estimate, is a smaller economy (-4%), lower employment (-2%) and higher prices (+0.7%). While meaningful, these are slightly better readings than the overarching consensus.
- From a market perspective, investors have taken a dim view of Brexit and its consequences. While the currency has been broadly stable for much of the last decade, the disruption to the supply side of the economy has seen the cost of borrowing rise more sharply and seen equities underperform. From a current account standpoint, while income and trade balances have improved, the external economy is more unbalanced between goods and services than ever before.
- The good news is that the options to improve the TCA – without taking any big decisions on deep integration - are meaningful. We estimate that such improvements to the TCA can lift UK GDP by 0.4-0.8%.
- It takes two to tango. No matter how ambitious the UK's reset with the EU may be, the UK will need full support from both the electorate (to avoid any political paralysis) and the EU to come to terms for a better deal.



Introduction: Brexit Impact – 10 Years On

Ten years on from the June 2016 EU referendum, the United Kingdom's economic journey since Brexit remains one of the most contested empirical questions in modern economic history.

Isolating the structural Brexit impact (higher trade friction, reduced labour mobility, regulatory divergence) however, remains fraught with complexity. The overlapping shocks of a global pandemic, a historic energy shock, a global trade war, and a pronounced monetary tightening cycle affected virtually every advanced economy.

In this report we take a multi-step approach to disentangle some of the effects of Brexit and look ahead to what's next.

We start by providing a **brief overview** on how Brexit was delivered, highlighting the two phases that dominated markets and the economy: the initial referendum shock and the constitutional crisis arising as a result of delivering Brexit, and secondly the post-pandemic shock in which the final Trade & Cooperation Agreement (TCA) was both negotiated and implemented.

We then present a **UK scorecard** looking at how the economy fared during the Brexit transition – comparing it to other G7 economies. This includes GDP growth, the labour market, inflation, trade and market performance. The UK – despite Brexit – has outperformed many of its peers in some areas, underscoring its importance on the world stage. Strikingly though, multiple areas and asset classes have still seen material underperformance. Domestic-focused stocks have delivered one-third of the return of peers since the UK's departure from the EU.

As part of our scorecard, we run an empirical estimation exploring the cost of Brexit (as things stand) using a synthetic control method (i.e. the doppelganger method). Here, we cover GDP, employment, and prices (CPI). Under this framework, UK GDP sits nearly 4% smaller. Employment is 2% lower. And prices are 0.7% higher.

The next section presents our **Brexit Balance Sheet**: a non-exhaustive list of what we think has and hasn't worked, and where the jury is still out. To be sure, while the negatives of Brexit are largely well-explored, we also set out some of the positives that position the UK into a more fragmented world.

Turning to the **future**, we estimate the impact on the UK economy of potential deals with the EU. There are plenty of low-hanging fruit to improve the TCA. We set these out in detail. In short, we think there may be something like 0.4-0.8% upside to GDP growth if the UK and EU worked together to reduce some of the non-tariff barriers.

We conclude with some bigger picture thoughts on the longer-term future of the UK's relationship with the EU, and our view on the optimal path forward. To be sure, no matter how ambitious the UK's reset with the EU may be, the UK will need full support from both the electorate and the EU to come to terms on a better deal. Bottom line, while the cost of Brexit cannot be ignored, there may be political limitations on how far the UK can go in re-integrating with the EU.



The Long Goodbye - How The UK Delivered Brexit

The UK's exit from the European Union was anything but swift. While a slim majority of the British public voted to leave the European Union on 23 June 2016, the path to the eventual Brexit Day on 31 January 2020 was a near four-year journey. We start by walking down history lane and reviewing how Brexit was delivered. Indeed, this is important in understanding how Brexit talks induced uncertainty and ultimately impacted the economy and UK financial markets.

Following the referendum decision to leave the EU, the UK was plunged into a state of economic uncertainty and political chaos. Indeed, Brexit was only delivered three prime ministers later in 2020 as part of the Trade and Cooperation Agreement. The end state was a far removed trade deal than many would have anticipated in 2016, with the UK unilaterally engineering the biggest trade disruption in its economic history with a "hard Brexit".

The decade since the Brexit referendum can be divided into two distinct phases – each with their own economic and political characteristics.

PHASE I	PHASE II
2016–2019	2020–2025
Referendum Shock/Constitutional Crisis	Pandemic/TAC/Energy Shock

Phase 1 entailed the referendum shock, including a constitutional crisis.

The immediate aftermath of the referendum result was messy.

The UK saw an immediate constitutional convulsion on how actually to deliver Brexit, raising uncertainty (politically and economically). The resignation of PM Cameron ushered in a new government under PM May, where she set out twelve Brexit principles to guide future negotiations – including establishing the infamous 'red-lines' in securing a deal with the EU.

To shore up support and strengthen her hand, PM Theresa May called a snap general election in 2017, which ended up stripping the Conservatives of their working majority and creating dependency on the Northern Irish Democratic Unionist Party (DUP) via a confidence and supply agreement.

Over the next several quarters, the UK was plunged into a constitutional crisis. This in turn saw renewed political uncertainty, with investment and business decisions coming to a standstill. The core political paradox was that Parliament had a majority against every available Brexit outcome simultaneously: against no-deal, against May's deal, against remaining, and against any second referendum.

Eventually, PM Theresa May called time on her premiership, opening the path towards a new Prime Minister. Boris Johnson's premiership from July 2019 brought resolution through confrontation. PM Johnson prorogued Parliament (declared unlawful), threatened a no-deal Brexit, expelled 21 Tory MPs who voted against him, and ultimately secured a renegotiated Withdrawal Agreement by solving the



Irish border through a customs border in the Irish Sea. To then obtain a parliamentary majority for his deal, PM Johnson called a general election for December 2019, in which the Conservatives won a large majority.

The UK formally left the EU under the Withdrawal agreement at the end of January 2020, but was to stay in the single market and customs union during a one-year transition period in which a full trade deal was to be negotiated.

Phase 2 was underscored by a global pandemic – with the final rush to secure a trade deal with the EU.

Despite the pandemic, trade negotiations between the UK and EU continued, but under extraordinary conditions. With the Covid-19 pandemic consuming essentially 100% of legislative bandwidth from March 2020 to mid-2021, the UK-EU Trade and Cooperation Agreement (TCA) – the most important trade negotiation in the country's post-war history – was conducted entirely via video conference.

After years of negotiation and deliberation, the culmination of the Brexit journey – at least as things stand – was the TCA being agreed on Christmas Eve 2020 – 1,645 days after the UK voted to leave the EU. For the avoidance of doubt, the TCA represented a marked, "hard Brexit," departure from the UK's previous relationship with the EU. [Figure 1](#) highlights all the key dates on this multi-year journey.

Figure 1: Key events in the run up to Brexit

Date	Key Political Event
Phase 1: The Referendum Shock	
23-Jun-16	Referendum: 51.9% Leave, 48.1% Remain. Turnout 72.2%.
24-Jun-16	David Cameron announces resignation
13-Jul-16	Theresa May becomes Prime Minister.
17-Jan-17	Lancaster House speech: May sets 12 Brexit principles.
29-Mar-17	Article 50 formally triggered. Two-year countdown begins.
08-Jun-17	Snap general election. Conservatives lose majority: 318 seats (–13).
6–9 Jul 2018	Chequers Agreement. Cabinet 'white paper' Brexit plan agreed.
14-Nov-18	Draft Withdrawal Agreement published.
10-Apr-19	Article 50 extended to 31 October 2019. UK must hold European Parliament elections.
24-May-19	May announces resignation. Cites failure to deliver Brexit. Conservative leadership contest: 10 candidates. Boris Johnson wins.
24-Jul-19	Boris Johnson becomes PM.
17-Oct-19	Revised Withdrawal Agreement agreed with EU. Irish Sea border accepted.
12-Dec-19	General election. Conservatives win 365 seats: 80-seat majority.
Phase 2: The Deal And Pandemic Collision	
31-Jan-20	UK formally leaves the European Union at 11:00pm. Transition period begins (to year end).
24-Dec-20	Trade and Cooperation Agreement (TCA) agreed. Christmas Eve deal.
01-Jan-21	TCA in force. UK customs border operational for first time.

Source : Deutsche Bank, News Sources



The UK Scorecard: economic performance relative to the G7

How did the UK fare relative to its counterparts in the G7 over the past decade? In this section, we build on the UK's economic performance since its decision to leave the European Union via a UK scorecard. We group this into three time periods.

The first (2010-2015) is the pre-referendum period – which in itself encapsulated its own economic issues as the UK dealt with the aftermath of the global financial crisis (GFC) and the government's austerity.

The second period is the referendum shock and the constitutional crisis (2016-2019) as the UK's Withdrawal Agreement with the EU was negotiated amidst domestic political turbulence.

And the third period looks at the pandemic period and beyond (2020-2025), where the UK and EU negotiated and implemented its TCA during a global pandemic, and shortly after which saw the Russian invasion of Ukraine and energy crisis of 2022.

We briefly set out some headline statistics as part of an economic scorecard looking at GDP growth, business investment, trade, employment and inflation ([Figure 2](#)).

Figure 2: The Broad UK Economic Scorecard

UK Economic Scorecard			
	2010-2015	2016-2019	2020-2025
Real GDP Growth	1.9%	2.0%	1.1%
% annual growth	(4)	(3)	(4)
Gross Fixed Capital Formation	3.8%	2.9%	2.3%
% annual growth	(2)	(7)	(2)
Current Account Balance, % of GDP	-3.6%	-3.7%	-2.5%
	(7)	(7)	(6)
Employment Rate	71.6%	75.2%	75.0%
	(3)	(2)	(3)
CPI Inflation	2.4%	1.9%	4.3%
% annual rate	(1)	(2)	(1)
*G7 Rank In Parantheses (1= highest, 7=lowest)			

Source : Deutsche Bank, IMF, OECD

GDP

On the surface, UK real GDP has expanded sizably since the referendum – especially in 2016 and 2017. During the early post-referendum years, UK GDP annual growth averaged 2% – above the G7 average and behind only the USA and Canada. From 2020 onwards, UK GDP growth slipped meaningfully to 1.1% – converging to the G7 average ([Figure 3](#)).



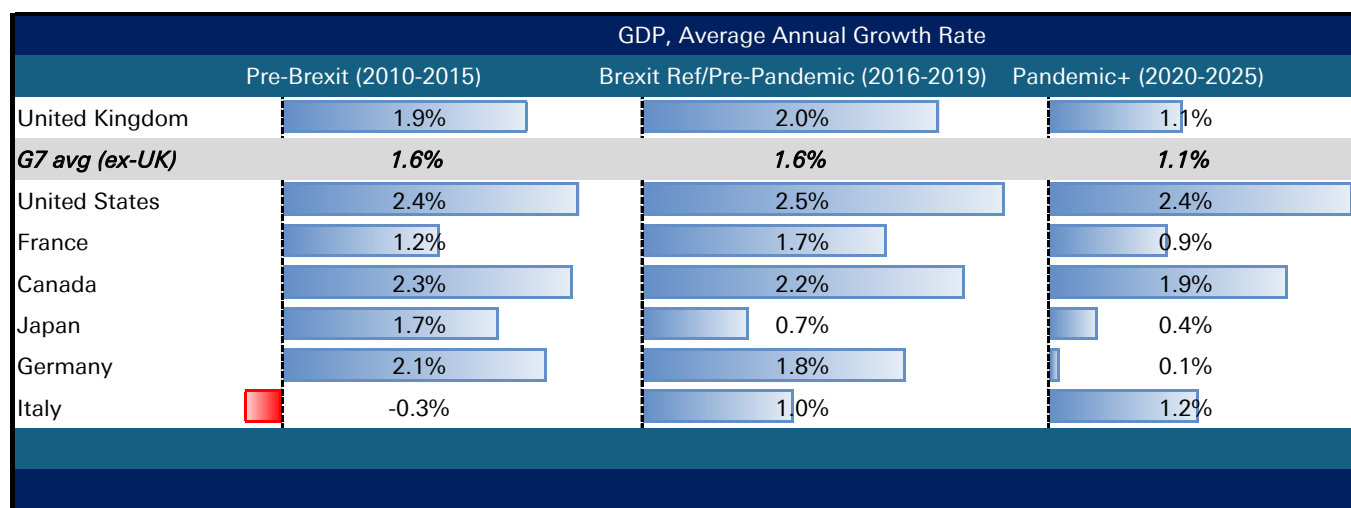
What drove some of the upward momentum in GDP growth? Part of the reason for the outperformance could be linked to easier monetary policy. Indeed, the Bank of England did its best to support economic activity by unveiling a new package of liquidity measures immediately following the referendum result, cutting Bank Rate to 0.25% in August 2016, and pushing through a new quantitative easing package comprising GBP 60bn of government bond purchases and GBP 10bn of corporate bond purchases.

Stockpiling also helped support activity. Businesses began stockpiling inventories ahead of the referendum with Q4-15 seeing the largest single quarterly inventories on record. And then between Q4-2018 and Q1-2019, inventories shot up again by a cumulative GBP 11.1bn, supporting activity as the first Brexit deadline drew closer.

Real GDP *per capita*, however, tells a slightly different story. Much of the jump in growth – unsurprisingly – was concentrated rather than distributed across the population. While real GDP per capita annual growth sat slightly above its G7 comparators for much of the decade preceding the pandemic and Brexit deal, the UK then fell well behind its peers from 2020, averaging 0.3% compared to a G7 average of 0.7%. Part of this was a reflection of a deeper pandemic drop, while it may have been the case that Brexit slowed the UK's catchup with its peers.

To be sure, the GDP gap cannot be solely attributed to Brexit and its uncertainty effect. Post 2010, the UK was suffering from a cocktail of cyclical and structural issues, including a chronically low savings rate, the hangover of the GFC, weak manufacturing productivity, and regional economic concentration – all of which may have constrained long-run growth.

Figure 3: UK GDP Scorecard



Source : Deutsche Bank, IMF; bars represent relative strength for each country across the three periods.

Business Investment

If there was a single macroeconomic variable that most reflected the Brexit effect – separated from pandemic noise, global inflation, and cyclical forces – it was business investment.



Why was investment impacted even before Brexit happened? Despite no change in trading relations between the UK and EU, political uncertainty was starting to have far reaching implications on economic uncertainty – with businesses uncertain around the future trading outlook. Indeed, it became difficult for firms to plan supply chains, staffing, and/or regulatory compliance.

Investment decisions, in the end, were delayed or shelved entirely with firms grappling with uncertainty around future trade arrangements, regulatory environments, and labour market conditions.

The impact of deferred investment cannot be overstated, as its effects compound over time, impacting growth and living standards. Put simply, foregone investment meant foregone productive capacity, foregone technology adoption, and foregone productivity growth.

The investment paralysis was deep and broad. UK business investment fell in four of the eight quarters between Q1-2018 and the eve of the pandemic, Q4-2019. This was the largest sustained investment shortfall in the post-war UK record outside of the 2008-09 financial crisis. As our scorecard highlights, gross fixed capital formation slowed dramatically since the Brexit referendum – moving from a 3.8% annualised pace to 2.9% per annum between 2016 and 2019 and slowing further in the 2020s (2.3% per annum) ([Figure 4](#)). As a share of GDP, UK investment relative to its G7 peers continued to underperform. And on the World Bank's own scoring measure of 'Government Effectiveness', the UK went from 'above average' to 'below average'.

What impacted investment plans? Constant threats of a 'no-deal' Brexit left just-in-time sectors particularly exposed – automotive, pharmaceuticals, food manufacturing, etc. Several auto manufacturers pre-announced production shutdowns timed to avoid a no-deal Brexit scenario. SMMT [estimated](#) that the collective cost of these shutdowns amounted to GBP 130m per day of lost production.

In numbers, the OBR [estimated](#) that Brexit uncertainty was costing approximately 0.5pp of annual GDP growth, equivalent to c. GBP 10-12bn of foregone output per year. A separate paper by [Bloom et al. \(2019\)](#) estimated that Brexit anticipation itself gradually cut investment by 11% and lowered productivity by 2-5%.

Major corporates deferred plans as a direct consequence of the paralysis: the Honda Swindon closure (February 2019, 3,500 jobs); Dyson HQ moved to Singapore; Goldman Sachs, JP Morgan, HSBC, Barclays, and UBS all moved substantial EU-facing operations to Dublin, Paris, Frankfurt, or Amsterdam. EY's [Brexit Tracker](#) (Q4-19) noted that 7k+ financial services positions had formally relocated to EU cities. Productivity growth effectively dropped to 0% with UK total factor productivity moving into negative territory.

It's not all bad news though. As our own scorecard shows, FDI and R&D expenditure has picked up since the referendum. Net FDI inflows jumped from 1.8% of GDP in the pre-Brexit period, rising to 4.1% between 2016 and 2019, before slowing to 2.4% of GDP since 2020. R&D expenditure (as a share of GDP) also improved over the past decade or so, pushing from below the G7 (ex-UK) average to above it since 2016. So while business investment dropped, international investors still sought to maintain exposure to UK markets and its role as a domestic innovator.



Figure 4: UK Investment Scorecard

Investment Scorecard			
	Pre-Brexit (2010-2015)	Brexit Ref/Pre-Pandemic (2016-2019)	Pandemic+ (2020-2025)
Gross Fixed Capital Formation, % Annual Growth	3.8%	2.9%	2.3%
G7 ex UK	2.5%	2.5%	1.5%
Gross Fixed Capital Formation, % of GDP	16.8%	18.8%	18.7%
G7 ex UK	19.9%	20.4%	21.3%
FDI (Net), % of GDP	1.8%	4.1%	2.4%
G7 ex UK	1.5%	1.8%	1.7%
R&D Expenditure, % of GDP	1.8%	2.5%	2.8%
G7 ex UK	2.3%	2.4%	2.6%
Government Effectiveness (std dev from world avg)	1.53	1.54	1.26
G7 ex UK	1.4	1.5	1.5

Source : Deutsche Bank, OECD, IMF; bars represent relative strength for each variable across the three periods

Employment

The UK labour market has witnessed three distinct phases since the GFC. The pre-Brexit period saw the UK jobless rate peak at a multi-decade high of over 8% in late 2011. By the time the EU referendum came around, the jobless rate had receded to around 5%.

Post-referendum, the UK saw a new wave of EU migration – the share of EU-born workers in the labour force jumped from 5.5% to 7.2% (as EU migrants likely sought to bypass any potential future immigration restrictions). But by the time the pandemic rolled around and Brexit was enacted, the share of EU workers then dropped. In fact, since the pandemic began, the average annual rate change in the EU born population in the UK has been -0.2%.

Relative to the G7, the UK maintained a higher employment rate (over the last decade +), with the jobless rate tracking below its peers – a reflection of its more flexible labour market. Unit labour cost growth slowed during the pandemic and widened dramatically during the pandemic/TCA period (Figure 5).

The headline statistics, however, fail to capture the impact of Brexit. The replacement of EU free movement with a points-based immigration system fundamentally altered the supply of workers in sectors that previously relied on low-to-medium skilled EU nationals: hospitality, social care, agriculture, haulage, and food processing. The resulting shortages have had two consequences – wage growth at the bottom of the distribution (a genuine distributional gain for low-paid UK workers) and persistent vacancies in those low-wage sectors.

Empirically, it's likely that in the absence of Brexit, employment levels would have been higher. As investment plans were shelved and/or staff were relocated elsewhere, the case for higher employment should the UK have remained in the EU is strong. Breinlich & Magli in 2024 [noted](#) that UK services firms dodged Brexit barriers by changing how they served the EU – increasingly via local affiliate sales (commercial presence) rather than cross-border exports from the UK. This protected firm-level services exports but at the cost of lower domestic employment – jobs and activity grew at the new EU affiliates instead of in the UK.



Figure 5: UK Labour Market Scorecard

Labour Market Scorecard			
	Pre-Brexit (2010-2015)	Brexit Ref/Pre-Pandemic (2016-2019)	Pandemic+ (2020-2025)
Employment Rate (16-64)	71.6%	75.2%	75.0%
G7 ex UK	67.3%	70.0%	70.9%
Unemployment Rate (16+)	7.2%	4.3%	4.4%
G7 ex UK	7.5%	6.1%	5.5%
Vacancy Rate	1.9%	2.5%	2.7%
G7 ex UK	1.7%	2.6%	3.2%
Unit Labour Costs, % Growth	0.7%	2.1%	0.5%
G7 ex UK	0.8%	1.5%	3.1%
EU Nationals, % of UK Labour Force	5.5%	7.2%	6.7%
Non-EU Nationals, % of UK Labour Force	9.4%	10.3%	12.7%

Source : Deutsche Bank, IMF, OECD; bars represent relative strength for each variable across the three periods

Prices

UK inflation since 2016 has been shaped by four overlapping forces: a Brexit-specific component (sterling depreciation pass-through, non-tariff barrier (NTB) cost pass-through, labour market restructuring); a global pandemic component (supply chain disruption, goods demand surge); a global energy component (Russia-Ukraine, gas prices); and a domestic demand component (tight labour market, fiscal support).

Unsurprisingly, UK inflation scored well above its G7 peers through the last several years. The first inflation wave came just after the Brexit referendum, when trade-weighted sterling collapsed by around 7%. The fall in sterling fed directly into import prices with non-energy industrial goods prices jumping over 200bps compared to 2016. Food inflation, over the same period, pushed over 400bps. Breinlich et al. (2017) [estimated](#) that the sterling depreciation cost the average household GBP 404 a year by mid-2017.

The gap between the UK and the G7 widened the most after the onset of the pandemic, when the UK officially left the EU ([Figure 6](#)). While the aftermath of the pandemic and Russia-Ukraine war led to a big spike in inflationary pressures, the effects of Brexit were hard felt too. Structural gaps in the labour market – owing to a re-jigging of EU labour – added to wage pressures. And most directly, the UK's exposure to goods/food inflation was laid bare by rises in non-tariff costs. A [study](#) from the LSE's CEP identified a 6% cumulative increase in food import prices attributable to sanitary and phytosanitary checks and customs friction, which they estimate contributed approximately 0.3-0.5pp to headline CPI on a sustained basis. Reduced import competition may have also shifted prices further. With fewer EU producers competing freely in the UK market, domestic services pricing faced less competitive constraint.



Figure 6: UK Prices Scorecard

Inflation Scorecard			
	Pre-Brexit (2010-2015)	Brexit Ref/Pre-Pandemic (2016-2019)	Pandemic+ (2020-2025)
Headline CPI, YoY	2.4%	1.9%	4.3%
G7 ex UK	1.4%	1.3%	3.2%
Unit Labour Costs, YoY	2.2%	1.9%	3.9%
G7 ex UK	1.2%	1.2%	2.6%
Import Prices, YoY	0.0%	3.5%	3.2%
G7 ex UK	2.6%	1.3%	5.1%

Source : Deutsche Bank, OECD, IMF; bars represent relative strength for each variable across the three periods

Trade and external accounts

Brexit was perhaps first and foremost a trade shock, with the UK breaking from decades of closer integration with its largest trading partner. Ten years on, however, the scorecard on the UK's external *balances* is relatively favourable, which may be surprising to some. Strip out erratics like gold, and the UK's current account balance improved notably. This improvement was seen across both the trade balance and the income balance components. To be sure, the average G7 current account balance also improved over the same time period – but the UK's improvement was particularly welcome given its very weak external position at the time of the referendum ([Figure 7](#)).

Figure 7: UK external balance improved in the decade since Brexit

UK trade scorecard (%GDP unless otherwise specified)			
	Pre-Brexit (2010-2015)	Brexit Ref/Pre-Pandemic (2016-2019)	Pandemic+ (2020-2025)
Current account balance	-3.1%	-3.9%	-2.4%
G7 ex UK	-0.7%	1.6%	0.9%
Trade balance	-1.0%	-1.3%	-0.6%
Of which goods	-6.2%	-6.3%	-6.8%
Of which services	5.2%	5.0%	6.2%
Of which balance with EU	-2.3%	-3.6%	-2.7%
Of which balance with non-EU countries	1.1%	2.1%	2.3%
Income balance	-2.1%	-2.6%	-1.9%
Goods exports growth (cumulative, real terms)	18%	-5%	-11%
G7 ex UK	20%	4%	-4%

Source : Deutsche Bank, Haver Analytics; bars represent relative strength for each variable across the three periods

On the trade balance, improvement came from continued growth in services exports, which more than offset a widening goods balance – something we explore in more detail later on. Geographically, the UK's trade surplus with non-EU countries increased, more than offsetting a slight deterioration in the balance with the EU vs the pre-referendum period. To be sure, the trade scorecard still contains some dark marks. Perhaps most strikingly, growth in UK goods' exports volumes underperformed the rest of the G7 over the past ten years.



Empirically, many studies have set out the effects of Brexit. Freeman et al. in 2022, [noted](#) that the UK saw a sharp drop in trade once new barriers set in from January 2021. Many smaller UK firms simply stopped exporting to the EU because they could not absorb the fixed compliance costs (rules of origin, SPS paperwork, etc.). Larger firms coped; the long tail of small exporters did not.

Financial markets

Financial markets are in many ways a real time [scorecard](#) of economic performance. The past decade for the UK does not make for pretty reading on this front ([Figure 8](#)).

The pound is perhaps the single cleanest, catch-all measure of relative UK financial market performance, memorably falling over 7% (in trade-weighted terms) as the referendum results came in. Since then, over the past decade the pound has gradually recovered in nominal terms. And combined with higher inflation in the UK, in real terms the pound is now actually slightly stronger than right before the vote, albeit still below its average from the few years preceding the referendum.

Perhaps the main takeaway from looking at the currency, however, is its relative stability over the past ten years, with far narrower ranges than have historically been the norm. To be sure, that's consistent with a global pattern of broadly lower currency volatility over the past ten years, but in the UK's case, it is still notable given what at times has felt like a continued stream of headlines and events.

Figure 8: Higher relative borrowing costs, weaker pound, underperforming equities relative to pre-referendum period

Financial market scorecard			
	Pre-Brexit (2010-2015)	Brexit Ref/Pre-Pandemic (2016-2019)	Pandemic+ (2020-2025)
Govt. borrowing costs: 10y gilt yield average (%)	2.5%	1.0%	2.7%
G7 ex UK	2.2%	1.1%	2.0%
Major equities: FTSE 100 cumulative total return (%)	43%	43%	63%
G7 ex UK	64%	42%	116%
Midcap equities: FTSE 250 cumulative total return (%)	120%	40%	21%
G7 ex UK	102%	37%	67%
Purchasing power of a pound: GBP FX Index average	80.6	74.0	74.2

Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics; bars represent relative strength for each variable across the three periods

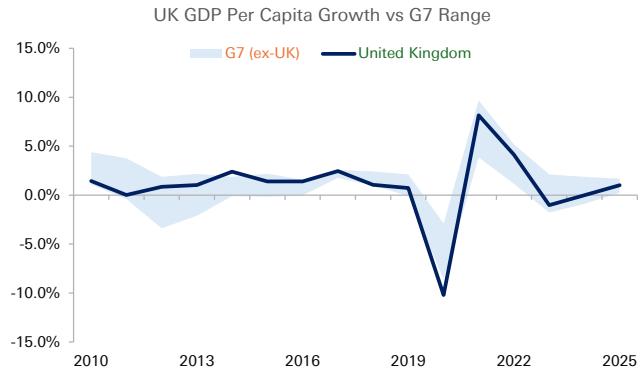
In the fixed income space, the UK government's cost of borrowing has risen sharply in the past few years and more so than in other G7 countries ([Figure 18](#)). The decision to leave the EU was far from a primary force at play here, with the dominating factors being the monetary policy responses to the inflation shocks of recent years, looser fiscal policy, and also a more [aggressive programme](#) of active quantitative tightening.

Finally, the underperformance of UK equities since the pandemic is noteworthy. The FTSE 100 having a lower weighting on sectors which have outperformed globally, (such as tech), may be one factor at play and is explored in more detail later. Meanwhile, for the more domestically focused FTSE 250, the larger increase in UK borrowing costs vs peers may also be playing a role. In any case, it has provided only one-third of the return vs the G7 average since 2020.



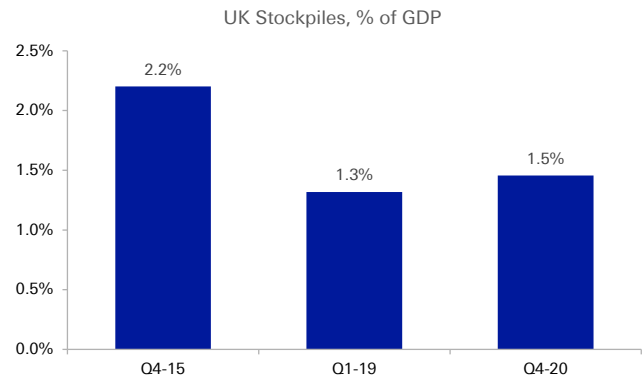
UK Scorecards in Charts

Figure 9: UK GDP per capita falling to bottom of G7 pack since the referendum



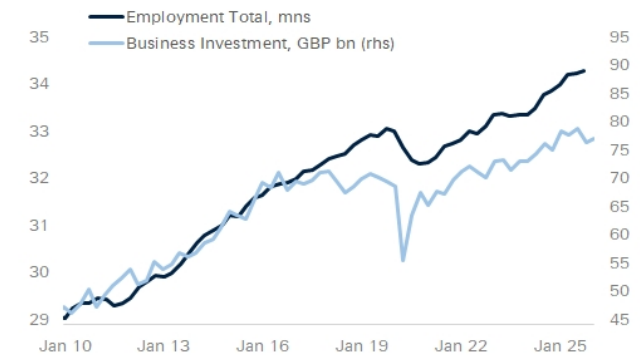
Source : Deutsche Bank, IMF

Figure 10: Stockpiling added materially during period of uncertainty through the pre-Brexit period



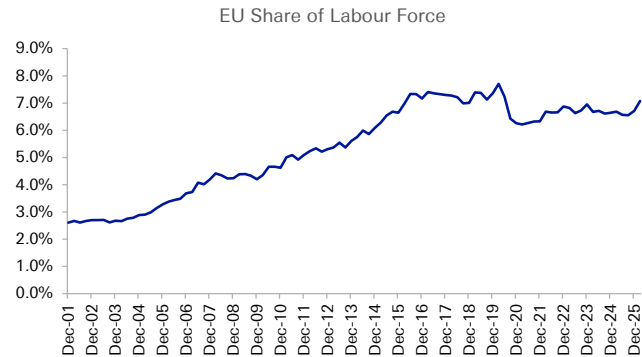
Source : Deutsche Bank, Macrobond

Figure 11: Employment and business investment decoupled as firms substituted labour for capital



Source : Deutsche Bank, Macrobond

Figure 12: Share of EU nationals in the UK saw small spike just after the referendum but has fallen meaningfully since



Source : Deutsche Bank, ONS

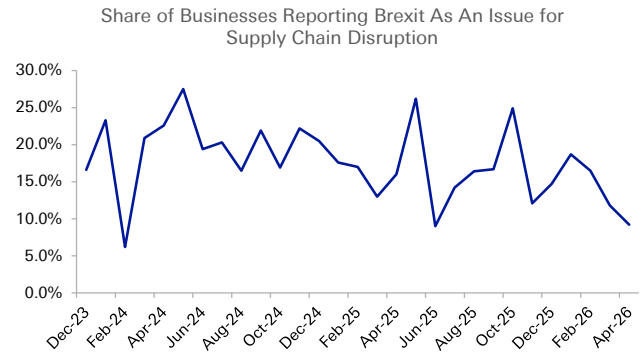


Figure 13: UK goods exports to the EU have fallen in real terms since the vote



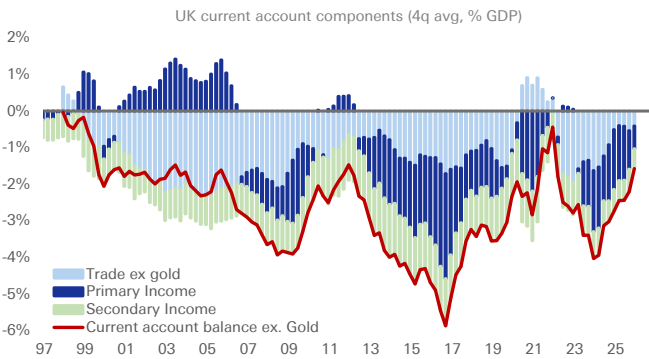
Source : Deutsche Bank, Macrobond

Figure 14: Around 10% of firms still blame Brexit for supply chain disruptions



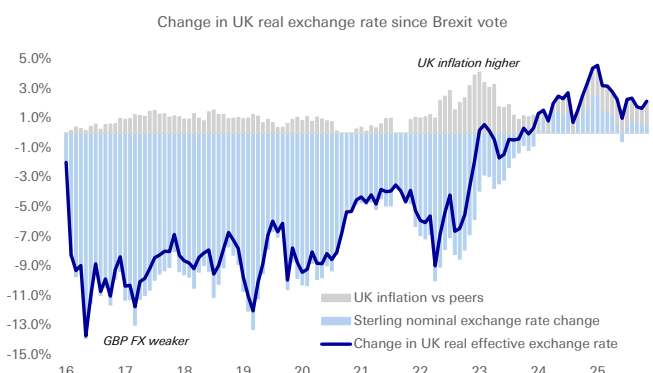
Source : Deutsche Bank, ONS

Figure 15: UK current account deficit improved over the past decade



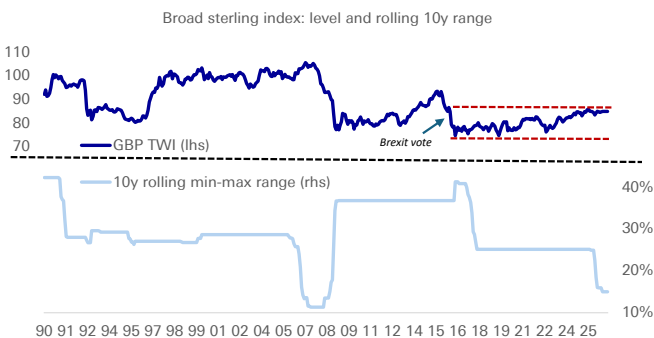
Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics

Figure 16: Pound in real terms is marginally stronger in real terms than before vote....



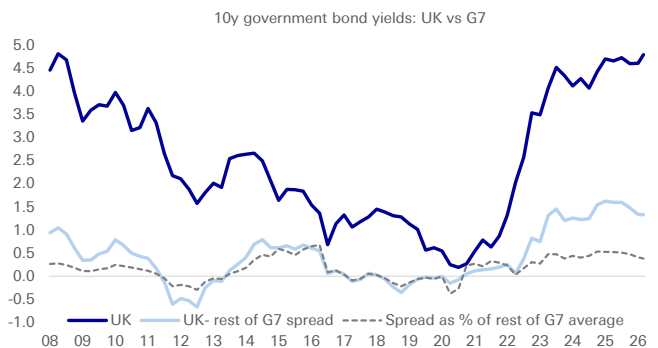
Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics

Figure 17: ..and has been very stable by historical standards since initial Brexit shock



Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics

Figure 18: Cost of UK borrowing firmly higher than peers but hard to isolate Brexit effect



Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics



Marking to market the Brexit impact: a doppelganger analysis

Real GDP -4.0% GBP 1,700 per person	Employment -2.0% 680k jobs	Prices 0.7% CPI, 4q
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Deutsche Bank SCM Analyses

The preceding two sections set out what the UK economy actually produced, invested, traded, employed, and priced over the post-referendum decade. But they cannot, on their own, answer the question that matters most to policy-makers and investors: how much of this was Brexit?

Indeed, several factors have shaped the economic outlook over the past decade. The UK experienced Brexit, a pandemic, an energy crisis, and a sharp monetary tightening cycle essentially simultaneously. Every metric examined above was influenced by all four shocks in different proportions. Disentangling them requires a counterfactual — a credible picture of what the UK economy would have looked like absent Brexit, controlling for the other shocks.

Turning to a Synthetic Control

As mentioned above, the UK — alongside other economies — experienced several shocks at the same time. Resorting to a doppelganger type framework (SCM) has several advantages.

First, it addresses the 'no simple control group' problem. Indeed, we cannot observe a 'UK without Brexit' in principle. Every conventional comparison — UK vs eurozone, UK vs G7 average, UK vs pre-referendum trend — conflates the Brexit effect with differences in economic structure, pandemic policy (furlough generosity, lockdown timing), energy exposure, monetary policy frameworks, and starting conditions. Simple comparisons, therefore, fail to estimate a 'genuine' Brexit impact.

Second, there are overlapping shocks. As noted above, Brexit was not the only problem facing the UK. The pandemic hit in 2020; the TCA came into force in 2021; monetary tightening began in late 2021; and energy prices spiked in 2022. Each of these shocks interacts with the Brexit structural effect — amplifying it in some cases (HGV shortage = Brexit × COVID), and attenuating it in others (pandemic emergency spending temporarily offsetting investment gap).

Third, phase dependency. As highlighted separately, the impact of Brexit can be traced through various phases. What began via consistent political uncertainty, led to economic disruption, which in turn led to the biggest single re-write of trade relations in UK history. Put differently, an aggregate 10-year average conceals the timing and magnitude of Brexit's effect. A good counterfactual method must be able to show when divergence began, how it evolved, and whether it has persisted.



Fourth, the self-selection problem. The UK did not 'randomly' Brexit. The vote was correlated with pre-existing economic characteristics. A counterfactual that ignores this correlation will either overestimate or underestimate the causal Brexit effect.

The synthetic control method (SCM) best solves for these issues. So, what is a SCM?

The SCM constructs a 'Synthetic UK' — a weighted composite of economies that most closely matched the UK on GDP, investment, trade, labour market, and inflation metrics in the pre-referendum period. Post-2016 divergence between the UK and its synthetic twin is then our best available estimate of the Brexit causal effect — not perfect, but transparent, visually intuitive, and methodologically rigorous. The [appendix](#) presents more detail on the SCM, including its limitations.

How do we construct the UK synthetic control?

We measure the Brexit effect on UK GDP, employment and prices by comparing the UK to a counterfactual "doppelganger" built from a donor pool of comparable economies. Here, we rely on a donor pool from OECD economies.

For GDP, employment, and prices, we use the standard Synthetic Control Method (SCM): a weighted blend of donor economies chosen to track the UK closely before the 2016 referendum, with the post-2016 divergence as the estimated Brexit effect. The SCM's weights are constrained to be positive and to sum to one, so the counterfactual is always a plausible combination of real economies.

Figure 19: SCM Controls

SCM Controls	
	Control Variables
GDP	Gross Fixed Capital Formation, Exports, Trade Openness, Government Consumption, Net FDI, Years of Schooling, R&D Investment, Employment, Professional/Science Ratio to GDP
Employment	Consumption, Gross Fixed Capital Formation, Unit Labour Costs, Years of Schooling, Trade Openness, GDP, Professional/Science Ratio to GDP, Net FDI
Prices	Unit Labour Costs, Import Prices, Export Prices, Policy Rates, GDP, Trade Openness, Employment

Source : Deutsche Bank

Impact of Brexit: results from a synthetic control

GDP: As expected, the UK economy underperformed relative to our 'UK doppelganger'. Our synthetic control doppelganger showed GDP tracking 4% stronger, relative to the UK's actual output (2025) ([Figure 20](#)). In pound terms, we estimate this to be equal to just around GBP 120bn – worth roughly GBP 1,700 per capita (in 2020 terms).

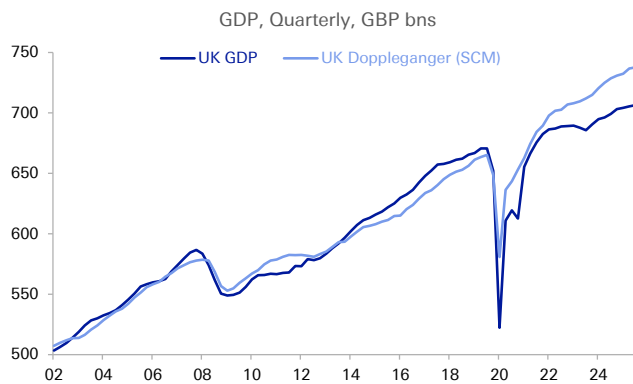
Our estimated output gap sits slightly better than other external estimates of a 6-8% GDP loss due to Brexit. However, note the breakdown in performance. The initial Brexit years, which encapsulated both the Brexit referendum shock and the period



of constitutional crisis, saw UK GDP actually outperform its doppelganger – likely a function of early monetary stimulus, competitive exports (via the FX depreciation), higher net immigration, and some stockpiling.

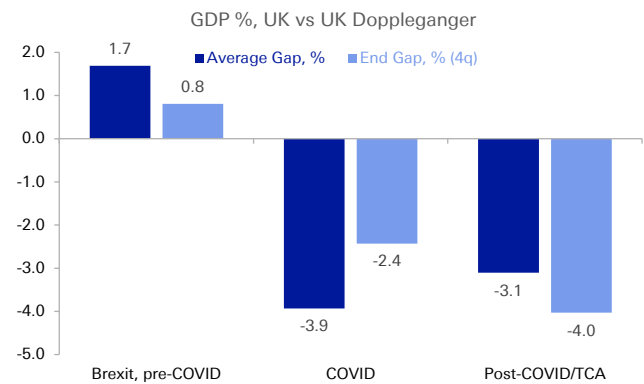
It wasn't until the pandemic began and the UK officially left the EU, that GDP started to materially underperform from its doppelganger. As of the most recent data point available, we estimate the GDP gap to have widened to 4.2% (Q4-25). It's worth noting, however, that on average since the Q2-2016, the GDP gap sits at a smaller -1.3% relative to its doppelganger – underscoring the wider variation in GDP trajectory over the last decade ([Figure 21](#)).

Figure 20: UK GDP sits around 4% lower relative to its doppelganger



Source : Deutsche Bank, Macrobond

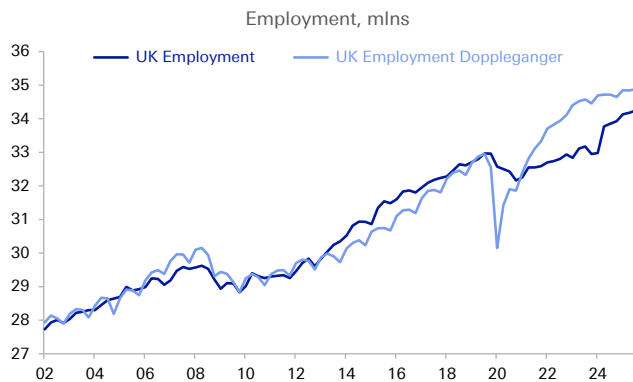
Figure 21: There is a wide variation in performance across the decade, with an output gap emerging only after 2019



Source : Deutsche Bank

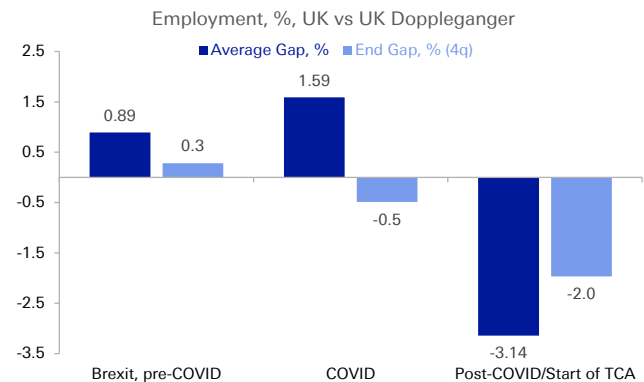
Employment: With GDP lower, employment is also likely to be lower. We estimate that the UK employment gap at the tail end of the sample (2025) sits closer to -2%. In numbers, that works out to just over 685k jobs ([Figure 22](#)).

Figure 22: We estimate the UK employment gap to be around 2%



Source : Deutsche Bank, Macrobond

Figure 23: The employment gap only really turned negative after the pandemic and the implementation of the TCA



Source : Deutsche Bank



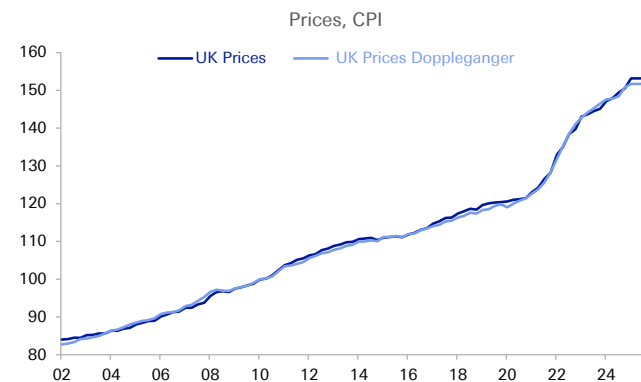
Again, we highlight the differences between the different phases of Brexit. By the end of the pre-pandemic period, employment levels were 0.3% above its estimated UK doppelganger. This, in our minds, chimes with the large inflows of workers seen just after referendum and in the run up to the pandemic where firms substituted away from capital and into cheaper labour, driving up employment. It wasn't until the pandemic period (2020-2021) where UK employment levels fell below the estimated synthetic (-0.5%). And in the TCA period (2022-2025), the gap between the UK and its doppelganger reached its widest levels, with both the average and end point showing a markedly bigger net fall ([Figure 23](#)).

Prices: Perhaps the most transparent impact of Brexit was inflation. On our SCM model, we estimate that UK prices (CPI) sits 0.7% above where it would have otherwise have been (i.e. in level terms) ([Figure 24](#)).

The end state, however, masks several phases of Brexit. The initial aftermath of the referendum saw sterling plummet, pushing CPI nearly 1% above its doppelganger. By the time the pandemic hit and the UK officially left the EU, prices were only marginally higher (0.4%) compared to the constructed UK synthetic.

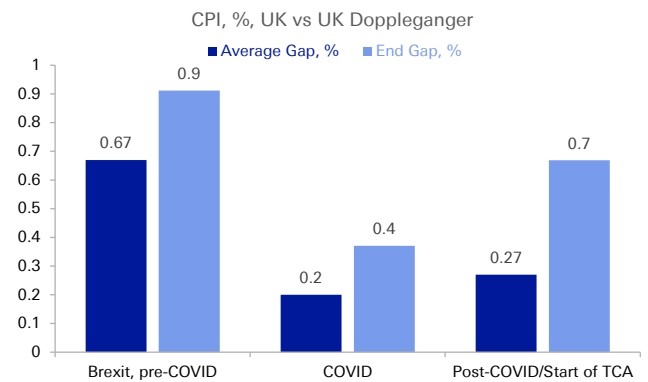
By the latest data point (2025), however, the gap between the UK and its doppelganger widened to around 0.7% ([Figure 25](#)). Overall, we estimate that over the last decade, the CPI level has tracked 0.5% higher, on average, due to Brexit forces with trade frictions, an initially weaker sterling, and structural changes to the UK labour market all likely playing some role in driving inflation higher, relative to the counterfactual.

Figure 24: CPI sits around 0.7% higher over the last year, compared to its doppelganger



Source : Deutsche Bank, Macrobond

Figure 25: CPI was stronger across all three time periods following the referendum



Source : Deutsche Bank



The Brexit Balance Sheet: what's worked and what hasn't

From setting out the UK scorecard on some of the effects of Brexit, we turn to the Brexit Balance Sheet, looking at what has worked and what hasn't. Indeed, while Brexit may not have been the success some claimed it would be, some things have worked better – while many others have not. We set them out in more detail below.

What's worked?

1/ Current account deficit has improved. In the trade scorecard we noted how the overall trade deficit had narrowed over the past decade. The income side has also improved, in part thanks to Brexit. Contributions to the EU budget ceased at the end of the transition period in 2020, but the UK's divorce payments - agreed as part of the Withdrawal Agreement - have also now tapered down to a rounding error from a balance of payments perspective. Indeed, net payments to the EU totaled nearly EUR 11bn in 2020 but by last year had fallen to under EUR 1bn. Only EUR 6bn of obligations for the next forty years remains [outstanding](#). As such, the lesser explored secondary income component of the UK current account has materially improved from a decade ago - from averaging 1.3% of GDP in the 5 years before the Brexit vote to just over 0.5% of GDP in 2025 ([Figure 27](#)).

2/ Free trade across Irish border preserved. [Figure 28](#) shows how trade between the Republic of Ireland and Northern Ireland jumped up immediately once the TCA came into effect in January 2021. With Northern Ireland de facto remaining part of the EU customs union with a border instead erected across the Irish Sea, goods trade on the island has thrived and is much higher than before the referendum.

3/ Regulatory Autonomy. The UK's freedom to set its own regulatory environment is the most significant theoretical advantage of Brexit. This has allowed the UK to move faster than its European counterparts in several areas, including:

- **Financial Services:** The Edinburgh Reforms (2022-23) introduced a more outcomes-based, less prescriptive prudential and conduct framework. The removal of the EU bonus cap for bankers (2023) was symbolically significant; more substantively, the UK has maintained its lead in derivatives trading volumes (LCH/LME), with the EU's attempts to force euro-denominated clearing to the continent only partially successful.
- **Life Sciences:** The MHRA's independence from the EMA has allowed faster clinical trial approvals and novel regulatory frameworks for advanced therapeutics (ATMP). The COVID vaccine programme was the most visible example; the MHRA's Innovative Licensing and Access Pathway (ILAP) has since attracted several early launches ahead of EU approval.
- **Artificial Intelligence:** The UK has deliberately positioned itself as a lighter-touch regulatory jurisdiction relative to the EU's AI Act. The 2023 AI Safety Summit at Bletchley Park and the establishment of the AI Security Institute have given the UK a soft-power position in global AI governance. This has allowed the UK to take a leading role in Europe when it comes to AI deployment and innovation.



- **Green Finance:** The UK's post-Brexit Sustainability Disclosure Standards diverge from EU SFDR in ways that some institutional investors consider more workable, potentially attracting more ESG capital.

4/ Independent Trade Policy. Post-Brexit, the UK has signed or rolled over approximately 70+ trade agreements covering economies representing around 67% of UK exports.

New agreements include the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP, formally joined May 2023) and updated deals with Australia and New Zealand (UKFTA 2023). The economic scale of these agreements is, to be direct, modest in aggregate — the CPTPP is estimated to add approximately 0.08% to UK GDP by the late 2030s.

Figure 26: The UK has been busy signing trade deals

Trade Deals				
Trade Agreement	Type	Status	GDP Impact (est)	Key Sectors
EU-UK TCA	Goods FTA / Services partial	In force Jan 2021	Net negative vs EU membership	All sectors
CPTPP	Regional trade agreement	In force May 2023	+0.08% GDP (long run)	Agri, autos, services
UK-Australia FTA	Bilateral FTA	In force May 2023	+0.08% GDP (long run)	Agriculture, finance
UK-New Zealand FTA	Bilateral FTA	In force Feb 2024	+0.03% GDP (long run)	Agri, digital
UK-India FTA	Bilateral FTA	Negotiations ongoing	+0.2% GDP (est.)	IT services, pharma
UK-US FTA	Bilateral FTA	Stalled / under review	Contested	Food, pharma, finance

Source : Deutsche Bank, UK Government

5/ Subsidy Flexibility. Outside EU state aid rules, the UK has been able to deploy targeted industrial subsidies at scale. The Freeport programme (10 English freeports operational by 2025) provides tax incentives and customs flexibility that replicate some single market benefits in a localised way. Net investment linked to freeport locations has been estimated at several billion over the programme period. Additionally, the [UK's Semiconductor Strategy](#) and advanced manufacturing support programmes benefit from freedom to exceed EU de-minimis thresholds.

What's not worked?

1/ UK trade is more unbalanced between goods and services than ever before. Increased frictions with the EU have decreased overall levels of trade in goods between the two blocs. From a deficit perspective, the trade balance in goods has widened, most notably in manufactured goods and food and drink. On the flip side, UK services trade continues to boom, especially telecoms and IT as well as "other business services" which captures things like law, management consultancy, and accountancy. Geographically, the UK's services surpluses with both the US and the EU have increased materially in recent years ([Figure 29](#)). At a high level, since leaving the EU, the UK has leaned further into its comparative advantage on services rather than rebalancing towards manufacturing and goods trade ([Figure 30](#)). Indeed, the UK is now far more unbalanced than countries of a similar wealth ([Figure 31](#)).

2/ Non-tariff barriers and trade friction. The TCA delivered zero tariffs and zero quotas – but raised substantial costs via non-tariff barriers (NTBs) on UK-EU trade. The TCA eliminated tariffs on goods meeting rules of origin requirements, but the reintroduction of customs declarations, regulatory border checks, and rules of



origin compliance has imposed significant costs on UK-EU goods trade. Academic work from the LSE CEP, CEPR, and the UK Trade Policy Observatory [saw](#) a 15-25% reduction in UK goods trade intensity with the EU attributable to these NTBs, after controlling for the pandemic and other factors.

A recent [paper](#) by the Productivity Institute suggested that Brexit led to a drop in imports of 23.7% and exports by 18.6%, with business investment also suffering by 2.5% (as a result of the drop-off in trade intensity). A separate [study](#) showed that non-tariff barriers raised prices by 6% (implying a pass-through of 50-80%) with households losing nearly GBP 5.8bn in added welfare costs.

3/ Regional policy. EU regional policy was a major, long-running transfer to the UK's poorer regions: between 1975 and 2020 the UK [received](#) around GBP 66 billion from Brussels – historically supporting west Wales, Cornwall, the Scottish Highlands, Merseyside and south Yorkshire. Had the UK stayed in, external [analysis](#) suggests it would have been entitled to around EUR 13 billion of structural funds for 2021–27 – a 22% increase on the prior period, as worsening regional inequality pushed more areas into the “less developed” category. The replacement – the UK Shared Prosperity Fund – has been widely judged to fall short: the Welsh Government estimates it alone faces a [shortfall](#) of around GBP 772 million against what EU funds would have delivered over 2021–25.

To add to this, empirical work show that UK regions underperformed their counterparts elsewhere. Fetzer & Wang (2020) [showed](#), via local synthetic controls (local doppelgangers) that in 2016–2019 many areas grew more slowly than their no-Brexit counterfactual. Interestingly, they also found that costs tended to be higher in areas that voted to leave the EU, had larger manufacturing sectors and more low-skilled workers – i.e. the places promised the most gains bore disproportionate early costs.

The grey zone: neither worked nor didn't work

1/ Some equity sectors have continued to outperform, some have continued to lag In the market's scorecard we highlighted how in aggregate both UK major and midcap equity indices have underperformed peers, most notably over the past few years. However, the sectoral breakdown presents a more nuanced picture, with a different story comparing UK sectors to their European peers and to their US equivalents ([Figure 32](#)). Interestingly, against European peers, some sectors that outperformed during the uncertainty period have largely continued this trend since 2020 (most notably materials), though others such as financials have lagged. Perhaps most striking of all, however, is the underperformance of technology shares (despite strong contributions to UK GDP growth), in both of our two Brexit periods and relative to both European and US equivalents.

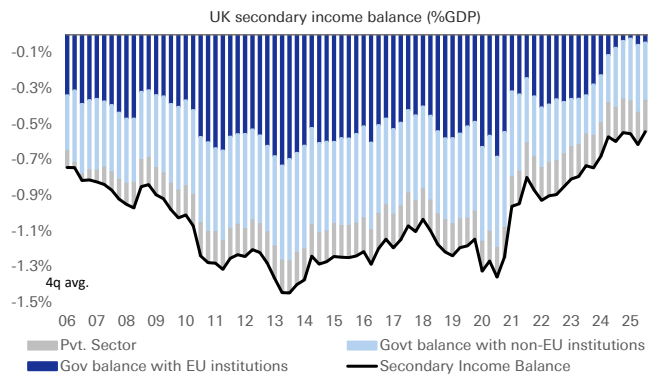
2/ Defence and security. For most of the post-Brexit period defence barely registered on the EU–UK agenda, with NATO and bilateral frameworks (such as the 2010 Lancaster House treaty with France) serving as the default. The geopolitics of 2025 changed that abruptly: the May 2025 EU–UK summit produced the first-ever Security and Defence Partnership, establishing structured dialogue across maritime, space, cyber and hybrid-threat domains. In November 2025, talks on UK participation in the EU's EUR 150 billion “Security Action for Europe” (SAFE) defence-procurement programme broke down, exposing persistent post-Brexit friction even as third countries like Canada moved to associate. The UK's eventual



role as a defence leader in Europe remains in question, and arguably has left the UK more exposed in a post-Brexit world.

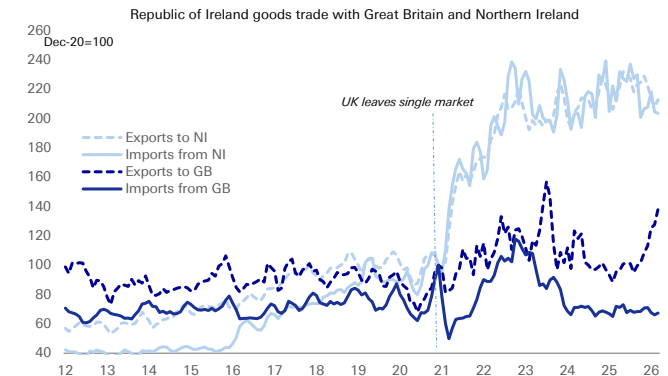
3/ Immigration. Ending free movement with the EU was meant to cut migration; instead, overall net migration rose to a peak of over 900,000 in 2023 before falling back to 431,000 in 2024. The CER–Portes counterfactual [found](#) that by 2024, Brexit had reduced EU-born workers by about 2.3% of the workforce, offset by a slightly larger rise in non-EU workers of around 2.95%, for a net increase of roughly 207,000 foreign-born workers — about 0.6% of the total workforce.

Figure 27: UK saves c. 0.6% of GDP on payments to EU with divorce payments having now tapered down



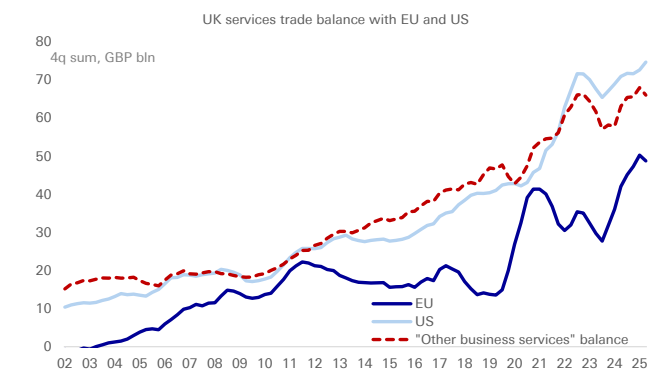
Source : Deutsche Bank, Haver Analytics

Figure 28: Brexit deals have successfully preserved free movement of goods across the Irish border



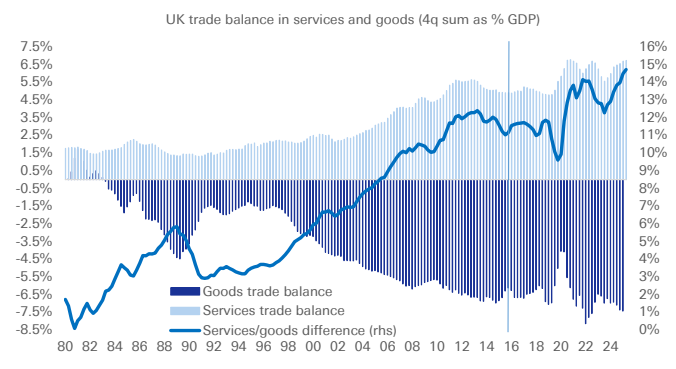
Source : Deutsche Bank, Haver Analytics

Figure 29: UK services surplus has grown with both the EU and the US....



Source : Deutsche Bank, Haver Analytics

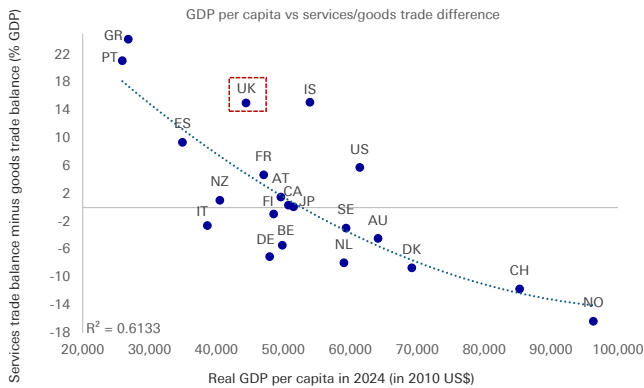
Figure 30: ..but overall UK trade more unbalanced than ever between service surplus and goods deficit



Source : Deutsche Bank, Haver Analytics

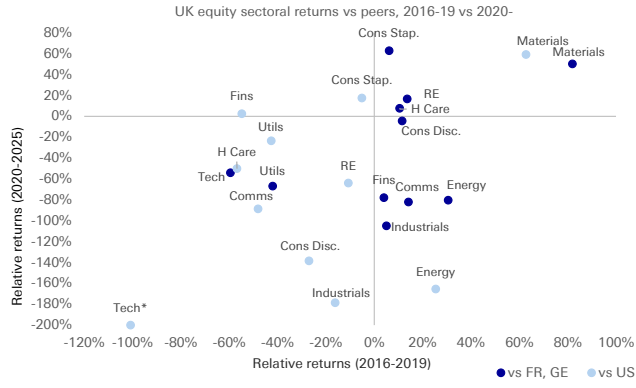


Figure 31: UK far more unbalanced between goods and services trade than nations of comparable wealth



Source : Deutsche Bank, OECD, Haver Analytics

Figure 32: Sectoral breakdown shows a mixed picture vs Europe and the US over the past decade



Source : Deutsche Bank, Bloomberg Finance LP
*tech vs US truncated for chart visibility



The Look Ahead: What's Next?

The impact of Brexit – though uncertain in scale – remains clear: the UK has lost output, employment, and has seen a larger cost of living shock.

So, what next? In this section, we look at the potential paths ahead for the UK. First, we look at how the UK can build on the current TCA deal. Second, we ask the big medium-term question: is there a path back for the UK into the EU? And, if so, what form could this take? Finally, we end with some thoughts on what (and how) the UK should consider as it rethinks its relationship with its largest trading neighbour.

The near-term questions: how can the UK improve on the TCA?

While policy debates have centered around the bigger (perhaps politically challenging) questions, there's more the UK can do to improve on the current TCA.

Recent policy proposals have focused on reducing trade and non-trade barriers between the UK and EU. Progress on these could have a measurable impact on UK GDP. Such 'Brexit reset' proposals can be summarised below:

Figure 33: Brexit reset proposals

Improving the TCA		
Policy proposal	Description	Main barrier reduced
Sanitary and Phytosanitary agreement (SPS)	Simplifies border checks and provides for dynamic alignment of food safety and animal welfare standards with the EU.	Agricultural and food product trade barriers
Visa and transport barriers for touring artists	Introduces targeted visa waivers for performers and technical crews and reduces transport frictions for longer tours.	Cross-border mobility
Mutual recognition of professional qualifications	Supports recognition of regulated professional qualifications, including in sectors such as nursing and legal services.	Labour mobility
Youth Mobility Scheme	Allows UK and EU 18–30-year-olds to move for work, study or other purposes for up to four years, with proposals also covering domestic tuition-fee treatment.	Labour, education and mobility barriers
Emissions Trading Scheme linkage	Links the UK and EU carbon markets, reducing carbon-price-related frictions and potential CBAM-related costs for covered trade.	Trade frictions
Product safety and metrology	Aligns UK product-safety and metrology rules with EU requirements, reducing duplicate compliance checks and easing market access for traded goods.	Regulatory barriers

Source : Deutsche Bank

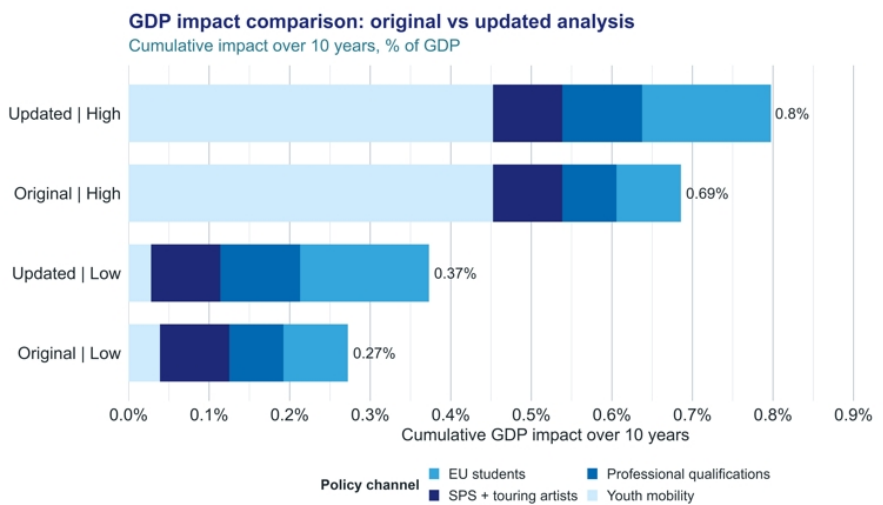


We quantify the GDP impact of the first four policy proposals in the table. Following Springford (2024), we update the underlying data and present a range of estimates for their effect on UK GDP. These calculations are approximate and draw on available OBR estimates and relevant academic literature. The estimates measure the cumulative impact on UK GDP over a 10-year horizon, relative to a counterfactual in which the policies are not implemented.

Overall, we estimate a cumulative GDP impact of +0.4–0.8% over 10 years. Our updated estimates are slightly higher at the top of the range, mainly because of the larger assumed effect from mutual recognition of professional qualifications. If the UK were treated as re-entering the relevant EU labour market, UK workers would account for around 15% of regulated professionals. Combined with higher assumed inflows of EU regulated professionals than outflows of UK regulated workers, this produces a somewhat stronger effect than in the original estimates. The low and high estimates vary primarily with assumptions about take-up of the Youth Mobility Scheme (see the appendix for more detail).

The chart below compares Springford’s original estimates with our updated estimates:

Figure 34: Estimated impact of a Brexit reset



Source: OBR, OECD, Eurostat, UN, HESA, HEPI, ONS and Centre for European Reform.

Source : Deutsche Bank, Springford (2024)

Because the Youth Mobility Scheme is an important source of uncertainty, we test two alternative assumptions: first, we assume a diminishing annual growth rate providing a more realistic projection of scheme take-up; and second, we vary the productivity assumption using OBR scenarios in which additional migration has a positive, negative or neutral effect on potential GDP. The effects of GDP are broadly negligible here, widening the overall impact to 0.33-0.84%.

Overall, the results suggest that the GDP effects are material, although the exercise does not capture wider general-equilibrium effects. The estimates should therefore be interpreted as a partial assessment of the potential impact of Brexit reset policies.



Finally, these estimates *exclude* the potential effects of UK-EU ETS linkage and product safety and metrology proposals. The table below summarises the main channels through which these policies could affect the UK economy:

Figure 35: UK-EU ETS and product safety changes can also boost GDP materially

Other policies to consider		
Policy proposal	Channels	Impact on GDP
UK-EU ETS Linkage	1. Lower UK carbon prices than otherwise, reflecting increased liquidity and access to the EU ETS market. 2. Lower costs for UK exporters by removing the need to pay a carbon price differential.	1. Lower intermediate input costs due to lower carbon credit prices, with potential pass-through to consumer prices and GDP. 2. Support for export competitiveness in affected sectors, raising export receipts and GDP growth.
Product safety and metrology	Reduces duplicate compliance and conformity-assessment costs for firms trading goods with the EU.	Lower compliance costs could improve exporter competitiveness and support GDP growth.

Source : Deutsche Bank

Including these additional proposals would likely raise the estimated GDP impact, as both ETS linkage and product safety and metrology could reduce costs for firms and support trade competitiveness.

Overall, the estimates point to a positive but partial view of the GDP impact from the Brexit reset proposals. However, they should provide some indication of the overall effects of adopting each of these proposals.

The big medium-term questions: is there a path back?

Beyond the very near term, the bigger question remains: is there a path towards closer alignment with the EU? In this section, we set out some of the thinking around the UK's options. Here, there are two: one, building on the TCA and pushing towards either a customs union or single market; or two, rejoining the EU.

Building on the TCA: customs union or single market?

The previous section's balance sheet pointed to a single asymmetry: Brexit's costs are concentrated at the core — via re-erected trade and regulatory friction with the UK's largest market — while its gains sit at the margin.

Any forward path therefore is based on how much of that core friction can be removed, and at what price in sovereignty. The two structural options on the table are a customs union and single-market membership (or a close emulation of it). They are not the same thing, they remove different frictions, and the empirical literature attaches very different magnitudes to each.

Customs Union: A customs union would align the UK's external tariff with the EU's and remove the customs border between them, which does two concrete things.



First, it eliminates rules-of-origin compliance. This is the requirement to prove what share of a product originated in the UK or EU to qualify for zero tariffs under the current TCA. Such compliance costs are [estimated](#) to add 2–8% to the cost of exporting goods, the burden falling heaviest on heavy industry and integrated manufacturing supply chains. The friction is real and quantified: in 2021, the TCA [reduced](#) the count of product-destination export relationships with EU countries per quarter by around 30%.

Second, a customs union would restore frictionless participation in European supply chains, where components cross the Channel multiple times before final assembly — automotive and chemicals being the textbook cases. Under a customs union those repeated crossings no longer trigger origin checks. A UK–EU mutual-recognition agreement on conformity assessment — a natural addition to a customs union — has been [estimated](#) to raise UK goods exports to the EU by 10% on average, and by up to 25% in chemicals and machinery.

What's the biggest limitation of a customs union? A customs union is a goods-only instrument. It does nothing for services. It also removes the UK's freedom to strike independent goods-trade deals, since the common external tariff would be set in Brussels. And it does not, by itself, remove SPS (food-safety) border checks, which require a separate veterinary agreement (something that would need to be agreed separately).

Single Market: The single market is a regulatory union: product and service regulations are harmonised or mutually recognised, so that non-tariff barriers between members fall to virtually zero. Re-entry would remove the bulk of the friction Brexit created, and crucially it would do so for services — the UK's structural strength.

Beyond the direct trade channel, single-market membership delivers a productivity dividend that a customs union cannot. Deeper market integration intensifies competition. OBR [estimates](#) suggest that the biggest cost from Brexit in the long run can be attributed to a productivity channel — a 4% long-run productivity loss. Re-entry would also restore the labour-supply flexibility, investment certainty and FDI attractiveness that the uncertainty channel of Brexit eroded.

What would a single market entry cost? The single market's price is sovereignty. Membership requires accepting the four freedoms — including freedom of movement — and submitting to EU regulation designed without a UK seat at the table. It also implies a budget contribution. These are precisely the red lines that successive governments have ruled out, which is why the single market is the larger economic prize but the smaller political probability.

To rejoin the EU or not to?

A key consideration when assessing the UK's longer-term relationship with the EU is public support, and what the UK public thinks about Brexit and its future.

This [piece](#) by polling expert John Curtice nicely summarises the state of play. When asked how they would vote in a hypothetical second referendum, polls on average this year have shown around 60% support for being in the EU, vs 40% for staying out. Brexit is seen by a majority of voters to have had a negative impact on both the economy and immigration. Interestingly, given the large scale of non-EU net migration into the EU over the past few years noted above, the view that it has had a negative impact on the view towards immigration is equally held by those who

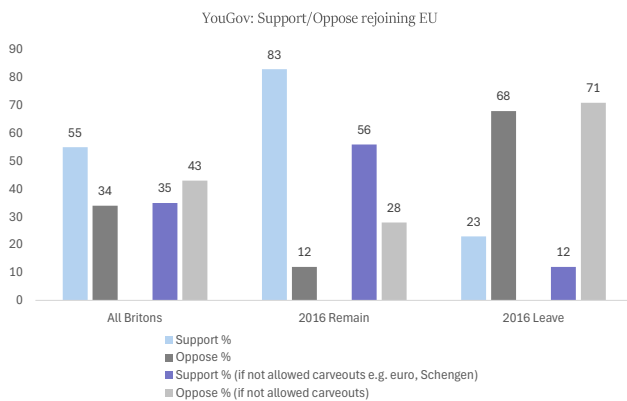


voted Remain as those who voted Leave in 2016.

To be sure, when given more context about the [potential preconditions](#) for rejoining the EU, the picture amongst voters becomes more split. For instance, if rejoining the EU had to be accompanied by the UK adopting the euro, polling suggests UK public support drops materially per [YouGov](#), to 35% ([Figure 36](#)). On the economic side, UK fiscal picture would have to improve to meet the convergence criteria for the euro, both in terms of running a narrower fiscal deficit and lowering (or illustrating credible path towards lowering) debt/GDP ([Figure 37](#)).

Here, the wider continental context is important. It is not inconceivable that the next decade or two sees a variety of countries across northern and eastern Europe vote on either joining the EU (e.g. [Norway](#), [Iceland](#)) or on adopting the euro (e.g. [Sweden](#), [Hungary](#), Czechia). By the time that the UK were to hold any hypothetical vote on closer ties, the bar for the EU to allow the UK to rejoin on its pre-Brexit terms would likely be even higher. Even now, the relationship with the UK does not feature near the top of the EU's priority list. We explore this and the wider view of Brexit from across the channel in the next section.

Figure 36: UK public supports rejoining EU, but only on similar pre-Brexit terms



Source : Deutsche Bank, YouGov

Figure 37: UK would likely need material fiscal consolidation if euro membership was made a condition to rejoin

Euro convergence criteria			
	Rule	UK latest reading	EU reference rate or target
Inflation	Less than 1.5% above 3 lowest EMU member states	3.0%	2.9%
Long-term yields	No more than 2 ppts above three best EMU member states	4.6%	3.4%
Fiscal deficit	Not exceed 3% GDP	4.2%	3.0%
Debt/GDP	Gross debt to GDP below 60% or diminishing at satisfactory pace	94.0%	60.0%
Currency volatility	2 years in ERM II where EUR/GBP trades in +/- 15% range of agreed central rate	7.3%*	+/- 15% range from central rate

Source : Deutsche Bank, Haver Analytics, Bloomberg Finance LP

What about the EU side?

Pragmatic rapprochement without reintegration. The UK's relationship with the EU ten years after the 23 June 2016 referendum is best understood as a shift from membership to structured third-country cooperation. Institutionally, the relationship is now more structured than it was immediately after Brexit, with annual summitry and multiple negotiation tracks under the 2025 "reset" (see [here](#)). Substantively, however, it remains selective and transactional rather than integrated. The most likely near-term outlook from an EU perspective is incremental deepening in sectors where geopolitical pressure and economic interdependence are strongest.

The UK-EU reset has produced real, but limited results so far. The reset in UK-EU relations has produced real but limited results—primarily on defence, food trade and energy. Stumbling blocks on further progress are disagreements on financial contributions by the UK in return for access to EU defence loan programs and



access to the joint electricity market.

- On defence, the first joint UK-EU [summit](#) after Brexit in May 2025 produced a Security and Defence Partnership. However, the fact that both sides could not find a compromise on the level of the UK's financial contribution for allowing British firms to participate in the EU's EUR 150bn SAFE defence loan program, is a setback in defence integration.
- On food trade, the UK and EU have agreed to work towards a Sanitary and Phytosanitary agreement on food and agricultural standards, which the UK hopes to be in play by 2027.
- And on energy, the EU Council green-lighted talks on electricity market integration in early 2026. However, the EU will likely insist that in return for access to the EU single market for electricity, the UK should contribute to EU cohesion payments, like [Norway](#) and [Switzerland](#).

UK-EU relations do not feature prominently at the top of the EU agenda. The reality is while the UK continues to debate what its future with the EU looks like, the EU has other more pressing issues.

The EU Commission's key policy priorities are centred around managing trade relations with the US and China, supporting Ukraine and improving its competitiveness (see our recent note [here](#)). As such, improving UK-EU relations are of lower-order importance, although deeper defence, electricity and trade integration would be beneficial for both sides (e.g. by better reaping the potential of North Sea wind). However, there is little in UK-EU relations so far that offers tangible benefits for national leaders in EU capitals and thus, negotiations remain at the technical rather than strategic level.

Relationship remains constrained by UK red lines and EU caution. The political will exists on both sides to further deepen ties as global geopolitical developments strongly favour selective rapprochement. But the relationship remains constrained by UK red lines (not rejoining of the single market or the customs union, not reopening freedom of movement) and EU caution and fear of cherry-picking. Both sides can be described as transactional in their approach limiting the willingness to be creative in improving their relationship.¹

Next critical milestones to watch. The TCA review and the upcoming 22 July 2026 summit are the next critical milestones. Legally, the 2026 review is anchored in Article 776 TCA, which provides for a review of implementation five years after entry into force and every five years thereafter. The review does not constitute a commitment to reopen the TCA and the EU prefers a "light-touch" assessment focused on implementation. EU council decisions on the youth experience scheme (see [here](#)), a common sanitary and phytosanitary area (see [here](#)) and emission trading (see [here](#)) show that the preferred EU-UK method in the reset phase is not to reopen the TCA, but instead, to build targeted new agreements alongside it. For areas where the EU thinks that the UK benefits more than the EU from new agreements, other package deals are likely to be asked for.

¹ See also CER, EU-UK relations - Will 2026 be the year to reset the reset?, February 2026



A hypothetical path ahead

The path ahead for the UK remains riddled with uncertainty. Politically, the push for further integration with the EU remains slow and disparate. Economically, the case for integration remains strong.

Social perception of Brexit has also changed in the past decade. More people view Brexit as a mistake. And the latest polls suggest that the UK would command a majority to rejoin the EU – but only under the right circumstances.

The main question, however, is at what cost would further integration come? If the UK could retain some of the exemptions that it benefitted from prior to its departure from the EU alongside maintaining some of the trade, regulatory and immigration freedoms, the case to rejoin the EU would be strong.

The reality, however, is that any future deal with the EU won't have as many exemptions. Politically, as well, no major political party has pushed a mandate for wholesale changes to the UK's relationship with the EU. Moreover, as we have noted, it takes two (or really 28 countries) to tango. Fears around any rapprochement of UK-EU reintegration due to fragmented politics (and remaining EU scepticism) will likely hinder any progress on a better deal.

So, what should the UK do? A sensible approach could be for a two-staged approach. The first, given the political constraints, would be to build on the current TCA to close some of the gaps in non-tariff barriers left as part of the original Brexit deal. This would include things like implementing the agri-food deal, establishing a Youth Experience Scheme, discounting university prices for EU students, reducing rules of origin checks, and agreeing on mutual recognition of qualifications. Our own analysis suggests that this could boost output meaningfully, scraping back some of the lost output in GDP. Doing so could even give the UK enough of a growth uplift to partially offset its diminishing fiscal headroom.

The second-stage would involve broadening out the UK's integration with the EU on things like defence, AI, and financial services. Should there be political appetite to push further towards the EU via either joining the Single Market, customs union, or re-joining the EU, no move should be made without a clear public mandate in order to avoid the political paralysis that followed after the Brexit referendum. The UK should also look to prioritise carve outs on its existing trade deals (though we think this could be difficult for the EU to agree to).

To be sure, in the current global ecosystem, the UK should prioritise its ability to retain flexibility in sectors of the future such as AI. Its ever growing reliance on services relative to goods - far larger than nations of comparable wealth - means that the UK may still benefit from use of its increased sovereignty and flexibility, which Brexit in theory has allowed for.



Appendix

A. The Synthetic Control Method

A1. The counterfactual problem

The impact of Brexit cannot be simply measured by a before-and-after comparison. Why? Because the UK simultaneously experienced a pandemic, an energy crisis and a sharp monetary tightening. Isolating the Brexit-specific effect requires a credible counterfactual — an estimate of what UK GDP, employment and prices would have done had the 2016 vote gone the other way, holding the other shocks constant. The synthetic control family constructs that counterfactual from a donor pool of economies that did not undergo Brexit.

A2. Standard SCM (used for GDP)

The Synthetic Control Method (Abadie, Diamond & Hainmueller, 2010) builds a "synthetic UK" as a weighted average of donor economies. The weights are chosen so the synthetic UK matches the actual UK as closely as possible across the pre-referendum period, on both the outcome's own trajectory and a set of economic predictors. Two constraints are central: the weights are non-negative and sum to one. This makes the synthetic UK a convex combination of real economies — it can never lie outside the range of the donor pool, so the counterfactual is always economically plausible and the method cannot extrapolate to an implausible level.

The post-2016 gap between the actual UK and its synthetic counterpart is the estimated Brexit effect. Because the outcomes are modelled in logs, this gap reads directly as a percentage. Statistical credibility rests on small pre-treatment fit error (RMSPE), confirming the synthetic tracks the UK before treatment.

Why is the SCM the right tool? The UK exhibits a tight convex match on GDP, employment, and prices (low pre-RMSPE), for one. Additionally, GDP's principal post-treatment confound (the pandemic) enters largely as a level effect that the convex blend handles well. The SCM's constrained form — its core strength — is not a binding limitation here.

A3. SCM Weights

We include our estimated weights for our SCM (including factor-augmented) below for our key three variables: GDP, employment, prices.



Figure 38:SCM weights

SCM Weights			
	GDP	Employment	Prices
Australia	39.2%	4.0%	33.7%
Austria		0.6%	54.7%
Canada		11.3%	0.3%
Denmark	0.1%	0.5%	3.7%
France		1.1%	0.1%
Germany			0.1%
Greece		0.5%	0.1%
Hungary	17.9%	0.8%	5.9%
Ireland		1.2%	
Italy	15.9%	0.7%	0.3%
Japan		0.3%	
Netherlands		21.8%	
New Zealand		4.5%	0.1%
Norway		0.8%	0.2%
Portugal	4.3%	0.6%	0.1%
South Korea		0.5%	
Spain		2.3%	0.2%
Sweden		1.6%	0.3%
Switzerland	22.3%	2.5%	
United States		44.4%	

Source : Deutsche Bank

References: Abadie, Diamond & Hainmueller (2010), JASA; Abadie (2021), JEL; Xu (2017), Political Analysis; Bai (2009), Econometrica.

A6. Limitations of SCM

Our approach to estimating the impact of Brexit (thus far) has its own limitations. We set them out below.

Synthetic control. The synthetic control method, for all its transparency, rests on assumptions that aren't perfect.

The counterfactual is only as good as the donor pool: it assumes some weighted combination of economies can credibly reproduce the UK's pre-referendum trajectory, and that those donors were not themselves materially affected by Brexit or by idiosyncratic shocks of their own over the estimation window.

The method also assumes no anticipation — that the UK's pre-2016 path was not distorted by the prospect of the referendum — and that the relationship between the UK and its synthetic twin, calibrated before 2016, would have held absent the treatment. A close pre-treatment fit makes these assumptions more plausible but



cannot prove them.

Inference is another constraint: the synthetic control has no conventional standard errors. Estimates are also sensitive to specification choices — the donor set, the predictor list, and the treatment date — and the further the analysis runs beyond the referendum, the more the accumulating overlay of unrelated shocks (a pandemic, an energy crisis, a monetary tightening cycle). This erodes the cleanliness of the counterfactual. We mitigate these concerns by ensuring a tight pre-treatment fit, but they cannot be eliminated.

Overall, use of a SCM does not deliver a definitive causal estimate; it merely provides a disciplined, transparent counterfactual under stated assumptions. We regard the convergence of our results with independent external estimates as more informative than any single point estimate. All figures should be read as central estimates surrounded by genuine, if unquantified, uncertainty.

B. Detailed workings on TCA adjustments

This appendix sets out the sensitivity analysis used to estimate the GDP impact of selected Brexit reset proposals. The approach updates Springford (2024) with more recent data and tests how the results vary under alternative assumptions. We refer to the original article for the full workings behind these calculations.

The quantified policies are the first four proposals listed in the main table.

- ETS linkage and product safety and metrology are treated qualitatively, given the broader range of assumptions and data required for a robust estimate.
- The recent data used to update the estimates are as follows:
- SPS: Updated UK agrifood exports and imports to and from the EU to 2025.
- EU students: Updated the number of EU-domiciled students in the UK to 2024/25. We assume that universities can accommodate the relevant increase in demand fully (given the drop in student visa applications).
- Mutual recognition of professional qualifications: Updated total intra-EU recognition decisions to 2024.
- Youth Mobility Scheme: Updated Eurostat data on young people in employment in the EU, HMRC data on EU young people in payrolled employment, and UN data on UK young people in the EU to 2024/25.

The scenario assumptions are as follows:

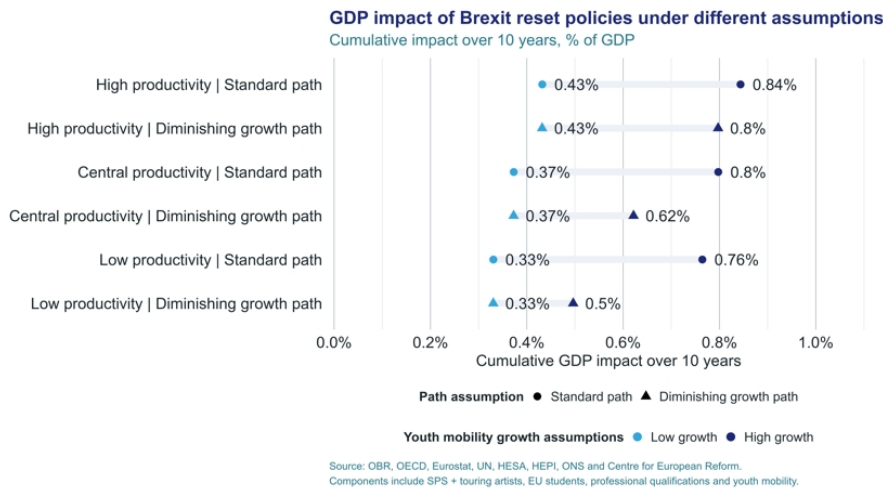
- Path assumptions: Instead of applying a constant average annual growth rate, we use a diminishing growth rate for projected take-up of the Youth Mobility Scheme. We model this using a simple AR(1) process that converges to a steady growth rate.
- Productivity assumptions: We apply OBR estimates for the impact of additional migration on potential GDP.
 - The central assumption assumes additional migrants have the same productivity per worker as the existing population, for example if capital per worker is unchanged or any dilution is offset by higher total factor productivity growth. Under this assumption, GDP is around 1.5% higher.



- The low assumption assumes lower overall productivity, for example due to lower capital per worker, resulting in a smaller GDP increase of around 1%.
- The high assumption assumes higher productivity, reflecting additional migrants having a much higher participation rate than the adult UK population. Under this assumption, GDP is around 2.2% higher.

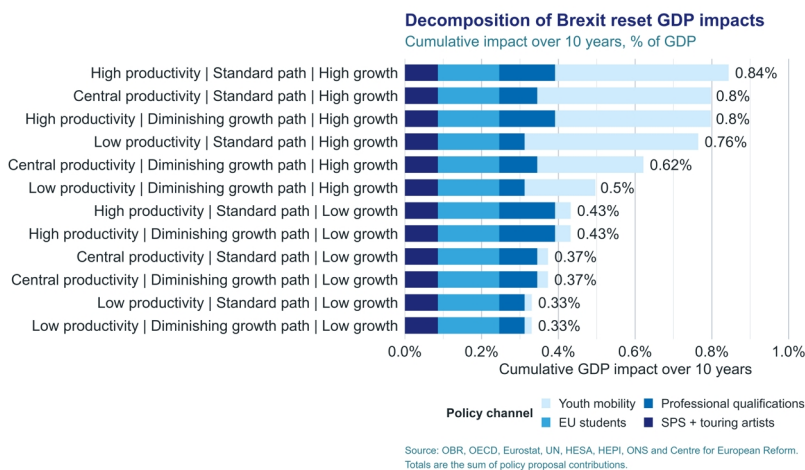
The figures below provide a more detailed overview of the policy proposals and their contributions to the estimates.

Figure 39: Brexit reset policies under different assumptions



Source : Deutsche Bank

Figure 40: Decomposition of Brexit reset GDP impacts



Source : Deutsche Bank



Appendix 1

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